

English translation published in May 2026

Monthly Report of Prospects for Japan's Economy

April 2026

Macro-economics Research Center
Economics Department



The Japan Research Institute, Limited

<https://www.jri.co.jp/en/reports/reports/>

Disclaimer:

This report is intended solely for informational purposes and should not be interpreted as an inducement to trade in any way. All information in this report is provided “as is”, with no guarantee of completeness, accuracy, timeliness or of the results obtained from the use of this information, and without warranty of any kind, express or implied, including, but not limited to warranties of performance, merchantability and fitness for a particular purpose. In no event will JRI, its officers or employees and its interviewee be liable to you or anyone else for any decision made or action taken in reliance on the information in this report or for any damages, even if we are advised of the possibility of such damages. JRI reserves the right to suspend operation of, or change the contents of, the report at any time without prior notification. JRI is not obliged to alter or update the information in the report, including without limitation any projection or other forward looking statement contained therein.

The General Situation – The economy is gradually recovering, though activity has stalled in some areas

Figure 1-1 Economic Activity

The coincident index of business conditions has stopped falling. The leading index is picking up.

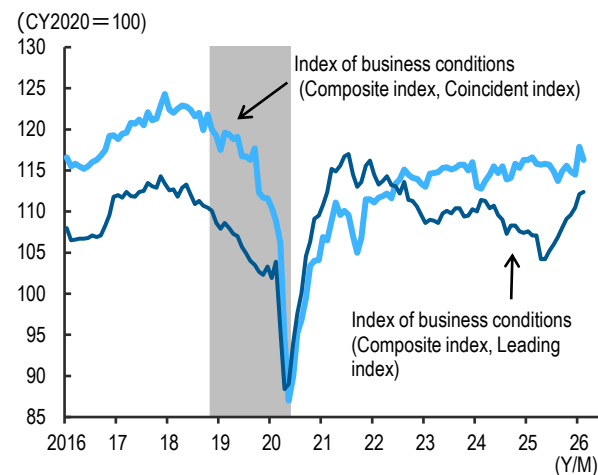


Figure 1-2 The Corporate Sector

Industrial production is fluctuating. Economic activity in the service sector is recovering.

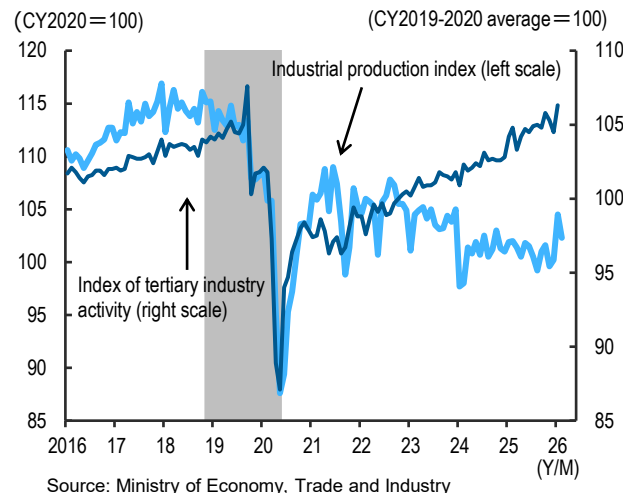


Figure 1-3 External Demand

Exports, particularly to Europe and Asia, are picking up. Imports are fairly flat overall.

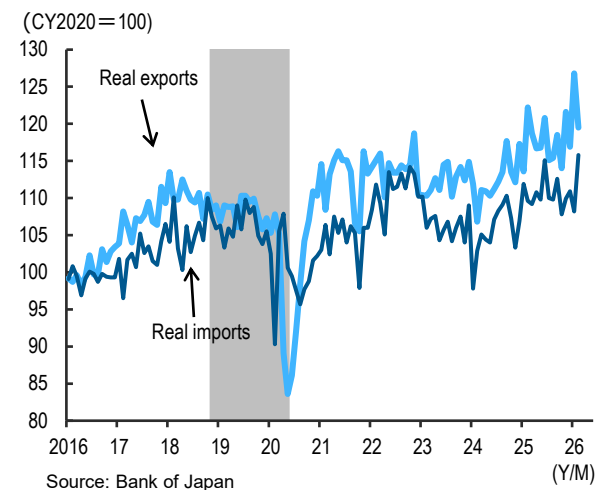


Figure 1-4 Employment and Income

The unemployment rate is low, hovering around 2.5%. Nominal wage growth is solid on average.

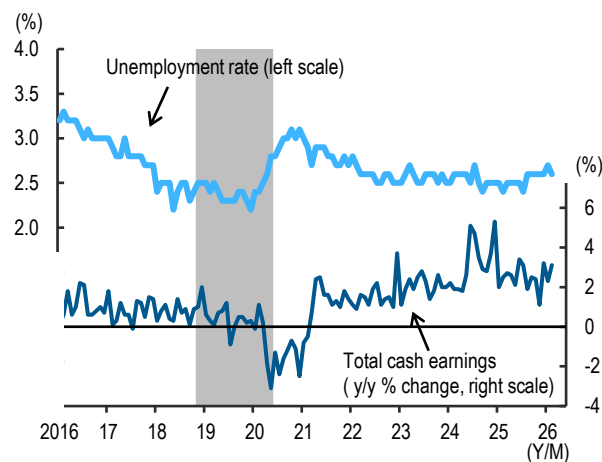


Figure 1-5 The Household Sector

Consumption is holding firm. Housing starts are weak.

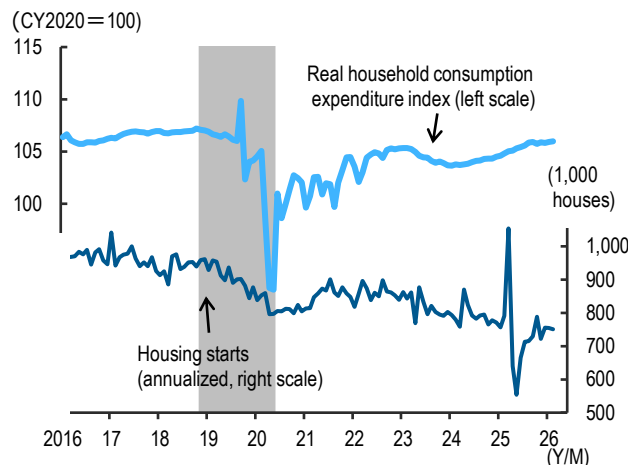
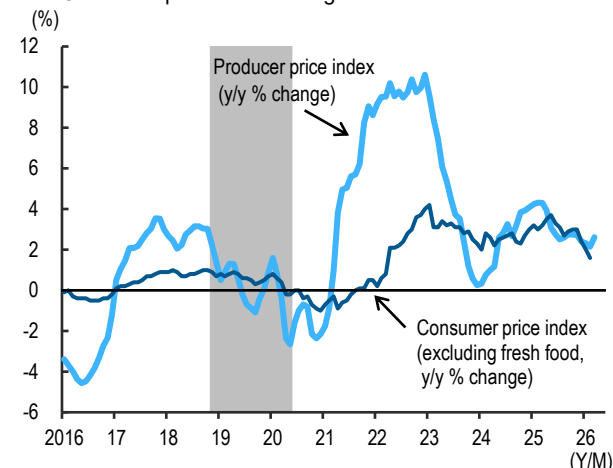


Figure 1-6 Prices

Producer price inflation has rebounded as oil prices rise. Consumer prices are slowing.



* The shaded area represents the period during which the Japanese economy was in recession.

Business confidence among companies is favorable overall

◆ Business confidence among companies is generally improving

In the March Tankan survey from the Bank of Japan (BOJ), the diffusion index (DI) for business conditions for large manufacturing enterprises was up one percentage point from the previous survey. Against a backdrop of solid AI-related demand, business confidence is improving in the area of non-ferrous metals for data centers, and also in the production machinery sector, which includes semiconductor manufacturing equipment.

The DI for large non-manufacturing enterprises was unchanged from the previous survey. Although the DIs for the transport/postal activities sector and the electric/gas utilities sector declined on concerns over rising crude oil prices amid heightened tensions in the Middle East, the DI for the goods rental and leasing sector improved markedly on the back of robust corporate capital investment appetite, while consumer-related sectors such as accommodation and eating/drinking services provided underlying support for the overall index, driven by a recovery in personal consumption.

◆ Production in the manufacturing sector is fluctuating

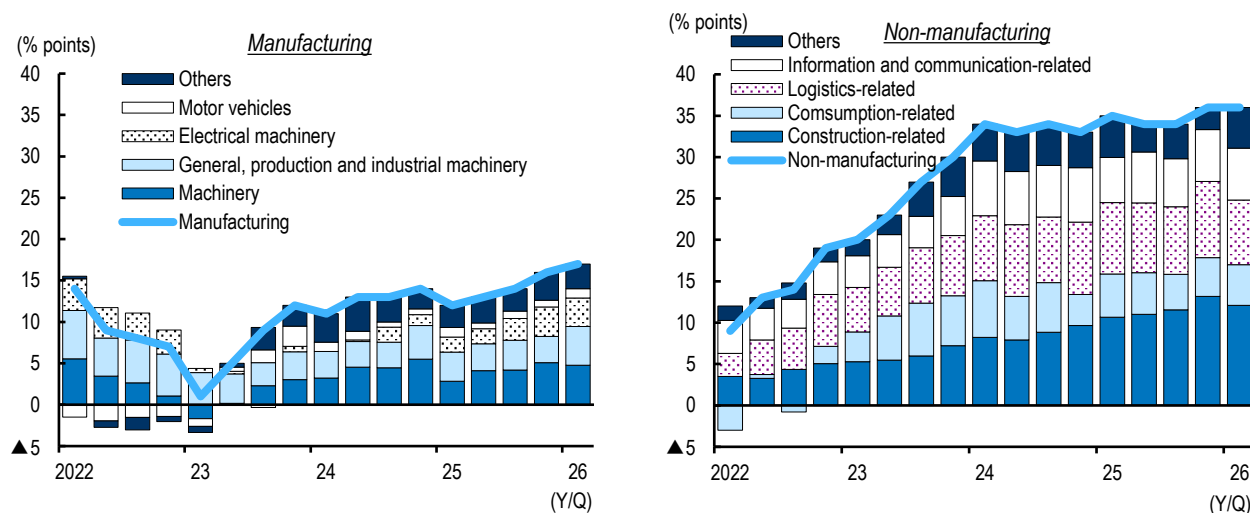
In February, the Industrial Production Index dropped by 2.1% month over month (MoM). While production of steel and non-ferrous metals rose, output of automobiles and production machinery declined.

According to the Industrial Production Index Forecast (adjusted based on past forecasting errors), near-future production plans indicate an increase in output of 3.8% MoM in March. One of the main reasons will be a rebound in output of production machinery.

◆ The service sector is on the recovery track

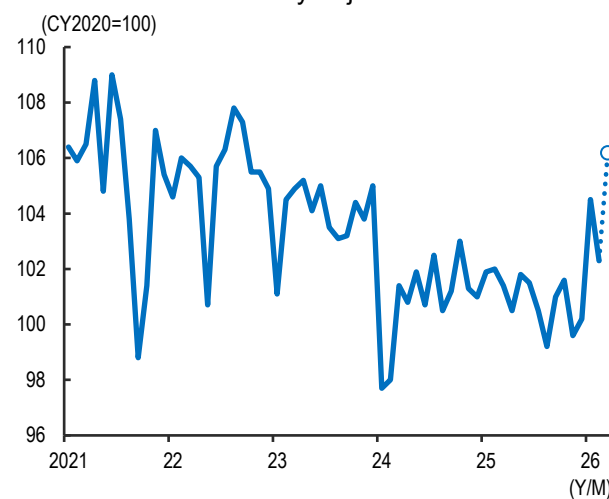
The recovery in the service sector is being maintained, both for personal and corporate services. In personal services, finance and insurance provided an overall lift as more financial transactions were conducted in response to rising stock prices and higher interest rates. As for corporate services, information and communications led the way, buoyed by strong digital transformation investment.

Figure 2-1 DI for Business Conditions of Large Companies



Source: Japan Research Institute, Ltd. based on data from the Bank of Japan
Note: The December 2025 survey used a new baseline after the company sample was revised.

Figure 2-2 Industrial Production Index <seasonally adjusted>



Source: Ministry of Economy, Trade and Industry
Note: The latest data is based on the adjustment value (Mar) calculated by the Ministry of Economy, Trade and Industry based on past adjustment patterns.

Goods exports are picking up, and capital investment is firm

◆ Goods exports are slowly picking up but there are clouds on the horizon

Goods exports are picking up. By country/territory, exports to the U.S., which had slumped due to the impact of tariff hikes, appear to have bottomed out, while exports to Europe and Asia, centered on capital goods, continue to trend upward.

Looking ahead, however, goods exports are projected to weaken. While strong AI demand will provide underlying support for exports of related goods, the surge in crude oil prices will sap economic momentum globally, and particularly in Asia. In addition, exports to the Middle East are expected to decline in the near term amid disruptions to shipping. Although the Middle East's share of total Japanese exports is limited, Japan's exports to the region have grown at an annual rate of over 10% in recent years, centered on transportation machinery. Having contributed to overall export growth, Middle East-bound exports turning to decline would deal a substantial blow to Japan's exports overall.

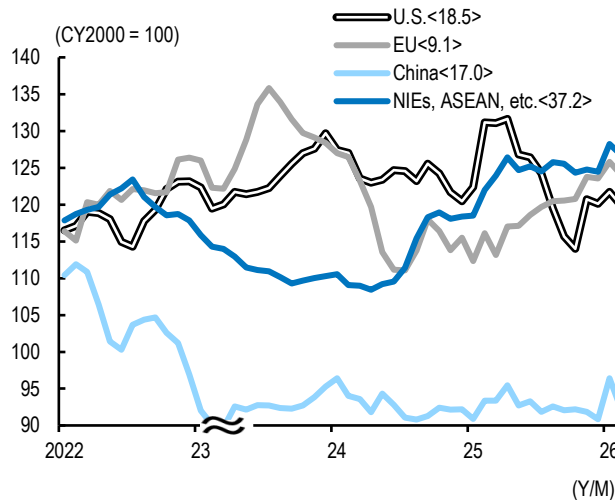
◆ Appetite for investment among companies is strong

Capital investment is firm. Looking at capital investment by type, software investment remains at a high level, and machinery and construction investment are

also increasing gradually.

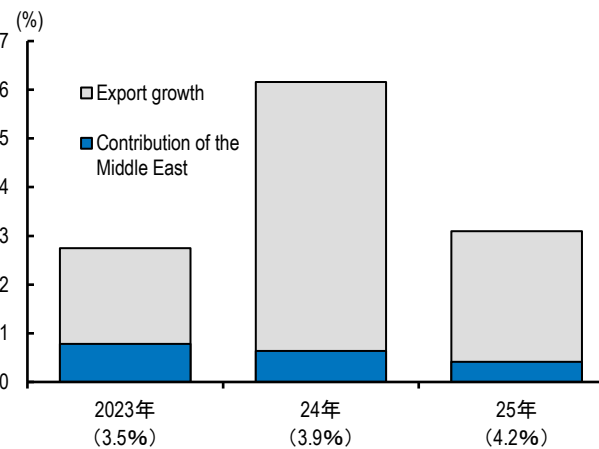
Capital investment is also expected to keep rising in the near term. Although increasing labor shortages in the construction and manufacturing sectors and soaring construction costs resulting from the turmoil in the Middle East will weigh on capital investment, companies' enthusiasm for investment to address medium- to long-term challenges such as labor saving and digital transformation will be maintained. According to the BOJ Tankan for March, planned capital investments (including software but excluding land) for FY2026 are up 3% year over year (YoY), a rate of growth on par with the same period a year ago.

Figure 3-1 Real Exports <by Country/Region>



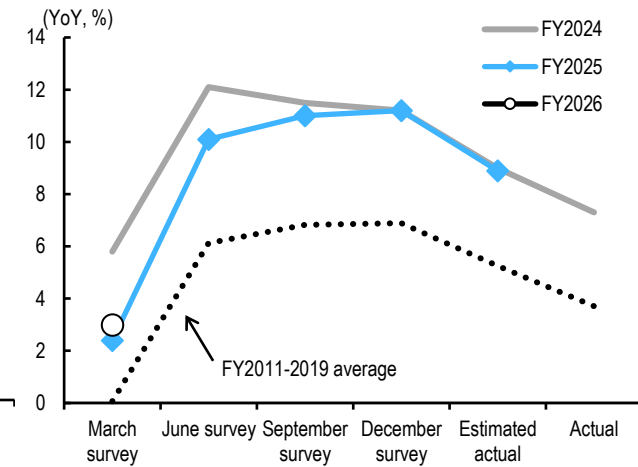
Source: Japan Research Institute, Ltd. based on data from the Bank of Japan
Note: Backward 3-month average. Figures in angle brackets represent the share of each country and region in customs-cleared export value.

Figure 3-2 Decomposition of Export Growth <YoY>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Finance
Note: Figures in angle brackets represent the share of exports to the Middle East in each year.

Figure 3-3 Capital Investment Plans <All Sizes, All Industries>



Source: Japan Research Institute, Ltd. based on data from the Bank of Japan
Note: Including software, excluding land.

The household sector will avoid a sharp deterioration despite higher oil prices

◆ High rates of wage increase will be realized in 2026 as well

Rates of wage increase agreed at the 2026 shunto (spring wage negotiations) averaged at 5.09% (as of the third round of calculations), slightly below the previous year's figure but still maintaining strong growth. Looking at the figure by company size, small and medium-sized enterprises (SMEs, fewer than 300 union members) also awarded high wage increases comparable to those of large corporations. SMEs, which face particularly serious labor shortages, are maintaining proactive wage-raising stances to attract/retain workers and boost motivation. In addition, increases in minimum wages may also have prompted SMEs to raise wages further.

Looking ahead, the wage increases agreed during the shunto are expected to take effect toward the summer. With wage growth progressing for a wide range of workers, including those at SMEs, the breadth of those benefiting looks set to widen.

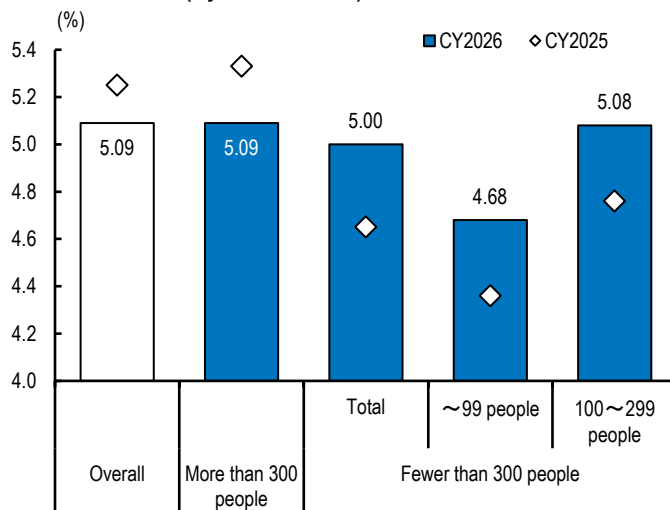
◆ Personal consumption remains firm

Personal consumption is gradually increasing. By type, goods consumption is stabilizing, thanks in part to easing inflation, while services consumption continues to

hold firm, particularly in amusement-related services.

Looking ahead, personal consumption is expected to remain resilient. Uncertainty surrounding the situation in the Middle East and concerns over rising prices are expected to depress consumer confidence, which will likely lead to some moderation in consumption growth. That said, with the government expected to employ measures such as subsidies to contain price increases, and with wage growth continuing at a pace comparable to the previous year, the income environment is likely to provide underlying support for personal consumption.

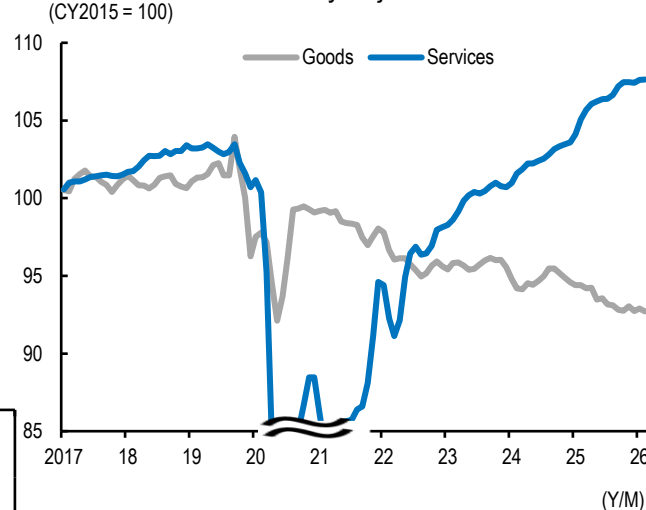
Figure 4-1 Rate of Wage Increases in Spring Wage Negotiations (by Union Size)



Source: Japan Research Institute, Ltd. based on data from the Japanese Trade Union Confederation

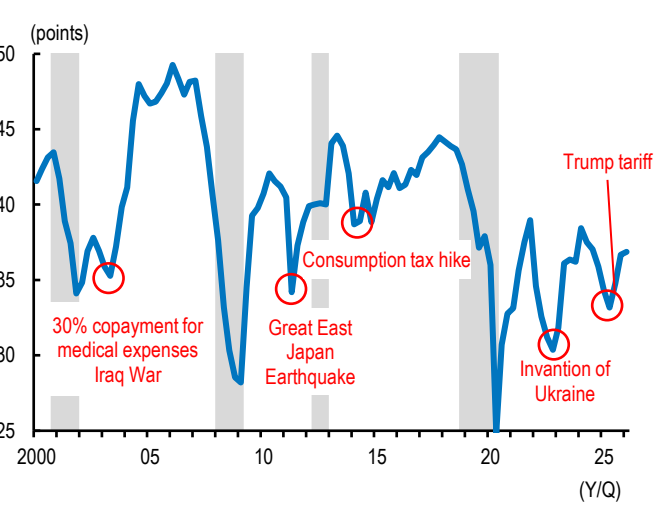
Note: The Data for CY2026 are based on the third round of the survey responses.
The Data for CY2025 are based on the final tally.

Figure 4-2 Consumption Activity Index <seasonally adjusted> (CY2015 = 100)



Source: Japan Research Institute, Ltd. based on data from the Bank of Japan
Note: Backward 3-month average.

Figure 4-3 Consumer Confidence Index and Economic Shock



Source: Japan Research Institute, Ltd. based on data from the Cabinet office

Note: Seasonally adjusted data for two-or-more-person households.

The shaded areas indicate recession periods. The survey methodology was revised in April 2013 and October 2018.

Monthly Report of Prospects for Japan's Economy April 2026
The Japan Research Institute, Limited

The government is moving to curb inflation

◆ Core inflation has fallen below 2% for the first time in about four years

In February, core inflation (all items, less fresh food) was 1.6%, dropping below 2% for the first time in approximately four years. The pace of energy price growth slowed due to government measures to curb inflation, and the rapid rise of food prices also moderated.

Inflation of approximately 2% is expected to continue in the near term. WTI crude oil futures prices should hover around \$100 before gradually declining. While some companies are expected to pass on higher raw material costs resulting from elevated oil prices to their selling prices, the government is likely to ease inflationary pressure through measures such as energy subsidies.

That said, if tensions in the Middle East persist for an extended period, there is a risk that the government may lose its ability to contain price increases, resulting in a significant rise in the inflation rate.

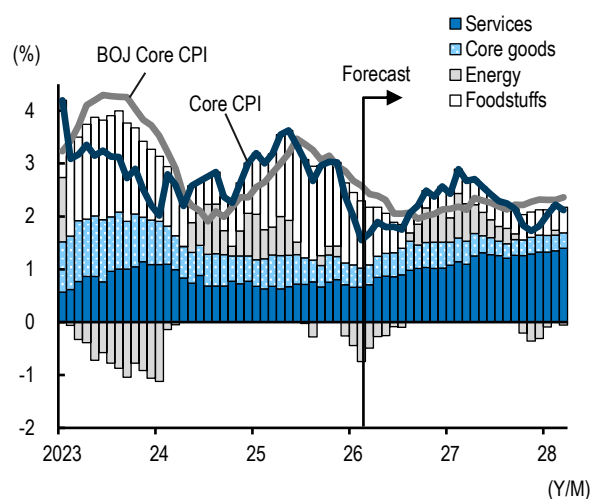
◆ The BOJ will continue to raise interest rates in phases

At its monetary policy meeting in March, the BOJ decided to keep its policy rate at 0.75%.

Long-term interest rates have risen. This reflects growing expectations for an early rate hike by the BOJ, as well as expansion of the view that surging oil prices could lead to an expansion of government expenditure.

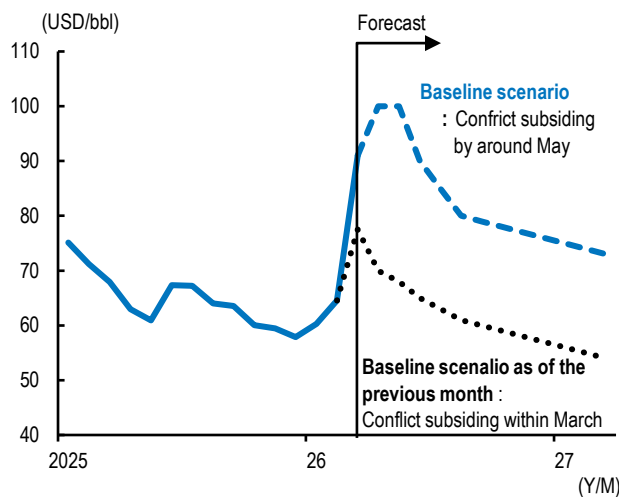
It is highly likely that the BOJ will continue to raise interest rates in stages while closely monitoring the impact of the Middle East crisis on the real economy and financial/capital markets. The next rate hike is expected to be in June. Long-term interest rates look likely to rise gradually, reflecting heightened anticipation of rate hikes by the BOJ and increased fiscal spending by the government. If jitters about a deterioration in fiscal discipline resulting from such measures as energy subsidies or consumption tax cuts take hold, there is also a risk that long-term interest rates will rise.

Figure 5-1 Consumer Price Index <YoY>



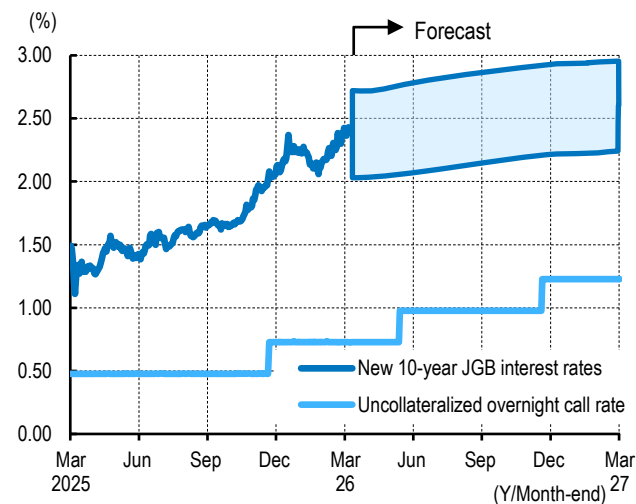
Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Figure 5-2 WTI Crude Oil Futures Price Assumption



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Figure 5-3 Outlook for Japan's Main Interest Rates



Source: NEEDS-FinancialQUEST

Topic ①: The unemployment rate is at odds with the sense of labor shortages

◆ Occupational mismatch is widening

While companies are increasingly feeling labor shortages, the unemployment rate has stopped declining. Before the COVID pandemic, the unemployment rate and the BOJ Tankan DI for employment conditions generally moved in the same direction, but they have since been diverging to an increasing degree.

One factor behind this divergence is the growing number of unemployed individuals who are unable to find employment. With labor force participation by women increasing, a certain degree of inflow from the non-labor force population into the unemployed population has occurred, but the transition of people from unemployed to employed status has not been sufficient to absorb this. As a result, the number of people remaining unemployed has been rising, and this trend has become particularly pronounced in recent years. Compared to the pre-COVID period, the number of workers switching from unemployment to employment has fallen by 180,000.

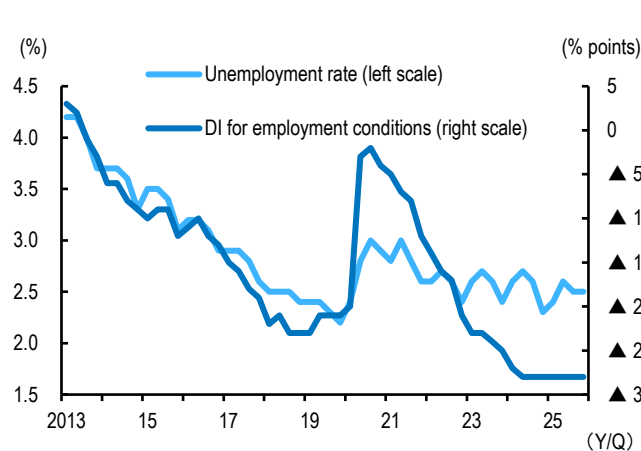
The primary driver of this dynamic is employment mismatch, and in particular, a widening mismatch across occupations. While there is an excess of people seeking

clerical and administrative roles, demand for workers exceeds supply in professional and technical occupations and in the service sector, and labor shortages are becoming increasingly severe in these areas. Cases in which job seekers are unable to find employment despite actively searching for work due to mismatches in skills or occupations are on the rise.

◆ Facilitating occupational mobility is an urgent priority

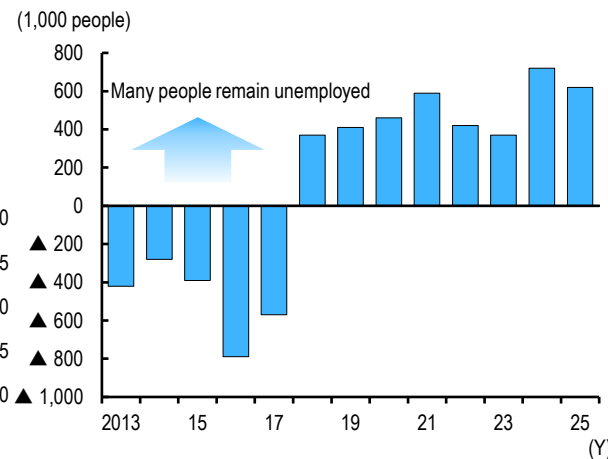
To resolve mismatches, mechanisms for facilitating smooth transitions into different fields are needed, alongside improvements in compensation and working conditions in labor-scarce occupations. Specific tasks include: 1) providing support for switching careers, 2) expanding recurrent education, and 3) improving information infrastructure through greater clarity in job descriptions and the visualization of skills.

Figure 6-1 Gap between Unemployment Rate and Sense of Labor Shortages



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office
Note: Both figures represent corporate equipment investment by private corporations.

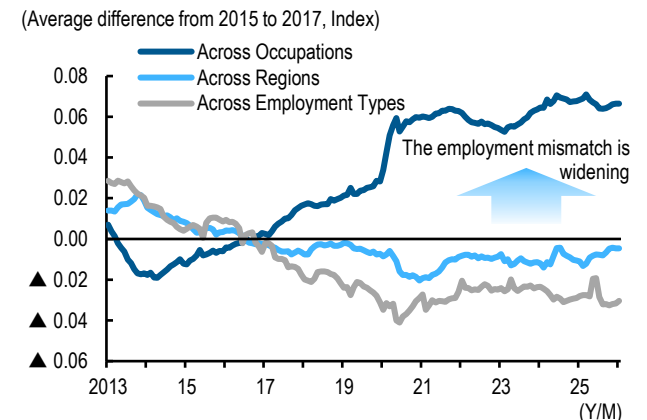
Figure 6-2 Stagnation in Unemployment Pool



Source: Japan Research Institute, Ltd. based on data from the Ministry Internal Affairs and Communications.

Note: Stagnation in the unemployment pool is equal to the number of people moving from the non-labor force to the unemployed minus the number of people moving from unemployment to employment.

Figure 6-3 Employment Mismatch Index <seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Health, Labour and Welfare

Note: The employment mismatch index is calculated by summing the absolute differences between the number of active job seekers and the number of active job openings in each category. Occupations are categorized by major group; regions by prefecture; and employment status by four categories: regular (part-time and full-time) and temporary/seasonal (part-time and full-time). Occupations are adjusted for the break caused by the 2023 revision of the occupational classifications.

Monthly Report of Prospects for Japan's Economy April 2026
The Japan Research Institute, Limited

Topic②: Inequality among households is widening in a "world with interest rates"

◆ Japanese consumption remains firm overall

Recently, household consumption has been generally holding up well even as prices continue to rise. Two background factors underlie this: 1) growth in employment income and 2) growth in asset income. The real incomes of employees have increased on the back of rising numbers of people in employment and higher wages. On the asset side, households' interest income has been growing, and unrealized equity gains have also increased.

◆ Inequality among households is widening

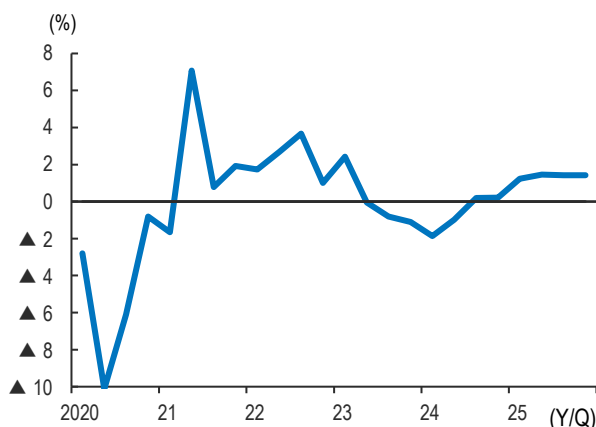
That said, inequality among households has been widening. The employment income environment varies considerably across households. Real income has increased markedly among regular employees at major companies (who account for 12% of all workers), but has been sluggish for workers at many other firms.

As Japan transitions to a "world with interest rates," the gap in interest income between the group receiving the least (the bottom 20% of those aged 39 and under) and the group receiving the most (the top 20% of those aged 60 and over) has widened from just under 700 yen per year in 2021 to approximately 120,000 yen per

year at present. The picture is similar for unrealized equity gains. It is only households in the bottom 20% for savings that are in a situation where such gains fail to cover the added burden of rising prices.

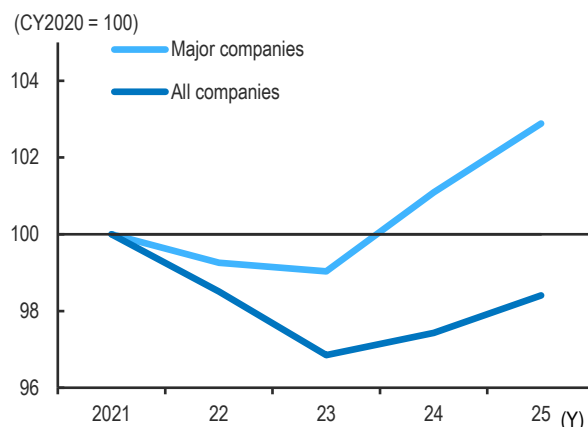
With the factors that support consumption distributed unevenly in this way, a reduction in the consumption tax on food items, which is currently under consideration, would disproportionately benefit wealthy households, who have greater spending capacity, and it could therefore exacerbate inequality. Targeted measures are needed to address the burden of rising prices on low-income households, and one such measure could be the introduction of a refundable tax credit system.

Figure 7-1 Real Private Consumption <YoY>



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office

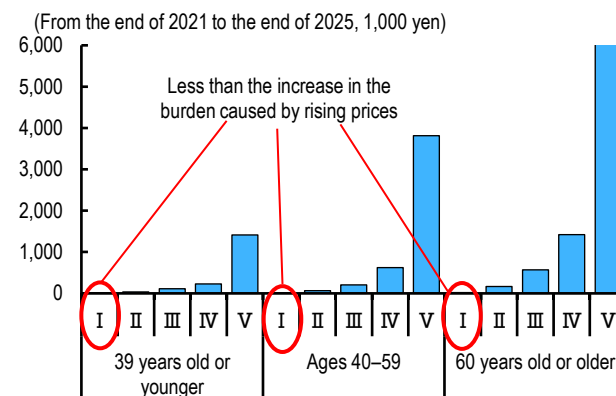
Figure 7-2 Real Scheduled Cash Earnings of Regular Employees



Source: Japan Research Institute, Ltd. based on data from the Ministry of Health, Labor and Welfare

Note: The major companies are those included in the Ministry of Health, Labour and Welfare's survey on spring wage increase demands and settlement status. All companies are those with 10 or more regular employees, based on the Basic Survey on Wage Structure.

Figure 7-3 Stock Gains by Quintile of Household Head Age



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications and the Bank of Japan

Note: Households with two or more members.

The economic recovery will pause in the near term due to rising oil prices

◆ Higher oil prices are putting downward pressure on the corporate sector

Japan's economic recovery is expected to stall in the near term due to the impact of higher crude oil prices. The conflict in the Middle East should subside by around May, with WTI crude oil futures prices hovering around \$100 before gradually declining.

The corporate sector will weigh on the economy. Although investment demand to address medium- to long-term challenges such as labor saving and digital transformation will hold steady, goods exports are expected to weaken as surging oil prices put downward pressure on national economies, particularly in Asia. Some companies may also face production constraints due to shortages of raw materials.

The dampening effect of higher oil prices on global economic activity, combined with rising fuel costs, is also expected to suppress inbound tourism demand. Coupled with the slump in Chinese visitors to Japan amid deteriorating Japan-China relations, growth in service exports is projected to slow.

The household sector, however, should remain resilient. The government looks set to ease oil price-driven inflationary pressure through measures such as energy subsidies. With high rates of wage growth continuing, a significant decline in real incomes is likely to be avoided.

◆ Middle East tensions pose downside risks

Real GDP growth is projected to remain solid, registering +0.6% in FY2025 and

+0.8% in FY2026.

That said, if tensions in the Middle East persist for an extended period, crude oil prices could rise further. This would intensify downward pressure on the corporate sector, and there is a risk that the government may be unable to fully mitigate the burden, leading to a deterioration in household real incomes and consumer confidence. Furthermore, if constraints on the supply of oil and related products tighten, a wide range of industries could be forced to curtail production, posing the risk of a significant economic downturn.

Figure 8 Projections for Japan's GDP Growth and Main Indicators (as of April 10, 2026)

	(seasonally adjusted, annualized % changes from the previous quarter)										(% changes from the previous fiscal year)		
	CY2025	CY2026				CY2027				CY2028	FY2025	FY2026	FY2026
	10~12	1~3	4~6	7~9	10~12	1~3	4~6	7~9	10~12	1~3			
	(Actual)	(Projection)									(Projection)		
Real GDP	1.3	1.3	0.5	0.6	0.9	0.9	0.8	0.7	0.7	0.7	1.0	0.6	0.8
Private Consumption Expenditure	1.1	1.2	0.3	0.5	0.7	0.7	0.6	0.5	0.5	0.5	1.5	0.8	0.6
Housing Investment	21.0	1.1	0.6	0.0	-0.1	-0.3	-0.4	-0.5	-0.5	-0.5	-3.6	0.5	-0.4
Business Fixed Investment	5.4	2.0	1.6	1.6	1.6	1.5	1.5	1.4	1.4	1.3	2.3	2.0	1.5
Private Inventories (percentage points contribution)	(-1.0)	(0.1)	(0.0)	(-0.0)	(-0.0)	(-0.0)	(-0.0)	(-0.0)	(-0.0)	(-0.0)	(-0.0)	(-0.2)	(-0.0)
Government Consumption Expenditure	1.5	0.9	1.0	1.1	1.1	1.1	1.0	1.0	1.0	1.0	0.8	1.0	1.0
Public Investment	-2.0	0.9	1.0	1.1	1.2	1.2	1.2	1.2	1.2	1.2	-1.1	0.4	1.2
Net Exports (percentage points contribution)	(-0.0)	(-0.4)	(-0.5)	(-0.4)	(-0.1)	(-0.1)	(-0.0)	(-0.1)	(-0.0)	(-0.1)	(-0.2)	(-0.4)	(-0.1)
Exports of Goods and Services	-1.4	-0.2	-0.9	-0.2	1.4	1.6	1.8	1.8	1.8	1.8	1.9	-0.5	1.6
Imports of Goods and Services	-1.3	1.8	1.3	1.4	1.9	1.9	1.9	2.0	2.0	2.0	2.8	1.1	1.9

	(% changes from the same quarter of the previous year)										(% changes from the previous fiscal year)		
Nominal GDP	3.9	2.4	1.0	2.6	2.5	4.0	4.8	4.2	3.6	3.9	3.9	2.5	4.1
GDP deflator	3.4	1.4	0.9	1.7	1.8	3.3	4.0	3.4	2.8	3.2	2.9	1.9	3.3
Consumer Price Index (excluding fresh food)	2.8	1.8	1.8	2.0	2.5	2.7	2.6	2.2	1.8	2.1	2.7	2.2	2.2
Unemployment Rate (%)	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6
Exchange Rates (JY/US\$)	154	157	158	158	156	156	154	154	152	152	151	157	153
Import Price of Crude Oil (US\$/barrel)	71	68	114	91	84	81	78	76	76	76	72	92	76

Sources: Cabinet Office; Ministry of Internal Affairs and Communications; Ministry of Economy, Trade and Industry; Ministry of Finance

The projection figures are based on those from the Japan Research Institute, Ltd.

ASIA MONTHLY

June 2026

Topics *Iran conflict spurs Japan to strengthen cooperation with ASEAN* ···1
Topics *China's R&D investment is expanding*4



<https://www.jri.co.jp/en/reports/asia/>

This report is the revised English version of the June 2026 issue of the original Japanese version (published on May 28.).

This report is intended solely for informational purposes and should not be interpreted as an inducement to trade in any way. All information in this report is provided “as is”, with no guarantee of completeness, accuracy, timeliness or of the results obtained from the use of this information, and without warranty of any kind, express or implied, including, but not limited to warranties of performance, merchantability and fitness for a particular purpose. In no event will JRI, its officers or employees and its interviewees be liable to you or anyone else for any decision made or action taken in reliance on the information in this report or for any damages, even if we are advised of the possibility of such damages. JRI reserves the right to suspend operation of, or change the contents of, the report at any time without prior notification. JRI is not obliged to alter or update the information in the report, including without limitation any projection or other forward-looking statement contained therein.

Topics *Iran conflict spurs Japan to strengthen cooperation with ASEAN*

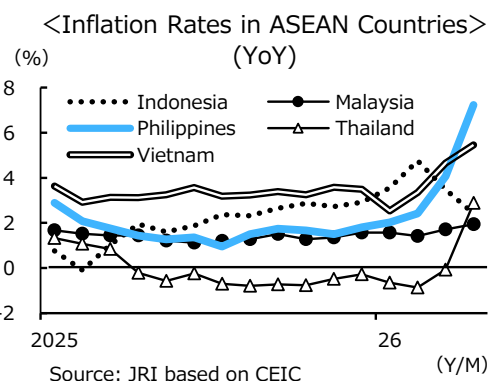
Japan has begun providing support to ASEAN through its POWER Asia initiative. Assistance is being advanced not only for the procurement of resources such as crude oil, but also for decarbonization industries and supply chains for critical minerals, leading to a renewed strengthening of Japan–ASEAN cooperation, which had shown signs of stagnation.

■ Financial support for ASEAN countries through POWER Asia

With the situation surrounding Iran remaining serious, growing concerns about resource procurement have led to increased uncertainty about the economic outlook for ASEAN. On March 10, the Thai government decided to reduce energy use in government buildings, and began urging public institutions to save electricity and have employees work from home. Later, on March 18, the Vietnamese government asked Japanese Prime Minister Sanae Takaichi to supply it with some of Japan's oil stockpile. In the Philippines, meanwhile, a national energy emergency was declared on March 24 to safeguard energy security. These three resource-importing countries are highly dependent on Middle Eastern crude oil and natural gas, and this contributed to a rapid rise in inflation through April.

Japan has begun bolstering support for these ASEAN countries. At the Asia Zero-Emission Community (AZEC) Plus online Summit on energy resilience on April 15, Japan announced the launch of the Partnership on Wide Energy and Resources Resilience Asia (POWER Asia), a new cooperation framework aimed at strengthening supply chains across Asia. Prime Minister Takaichi stated that AZEC, which seeks to deliver energy security, economic growth, and

decarbonization simultaneously, would evolve into "AZEC 2.0" by incorporating the perspective of economic and energy resilience, supported by approximately \$10 billion in assistance. Soon afterwards, during her visit to Vietnam on May 2, the Japanese government designated its first project under this framework, deciding to support crude oil procurement for the Nghi Son refinery.



<Japan's Framework for Decarbonization and Energy Resilience Support for ASEAN>

Asia Zero Emission Community (AZEC)	
• Proposed in January 2022 by then-Prime Minister Kishida, with the aim of sharing the philosophy that Asian countries will pursue decarbonization, and cooperating to advance energy transitions. • Partner countries total 11 nations: ASEAN countries (excluding Myanmar), Australia, and Japan.	
↑ Evolving AZEC by incorporating economic and energy resilience	
Partnership on Wide Energy and Resources Resilience Asia (POWER Asia)	
Financial support etc., totaling approx. US\$10 billion	
[Emergency Response] Supply procurement and supply-chain maintenance	
Financial support for local companies (Credit provision for crude oil procurement, etc.) Fiscal support for Asian governments (Loans for partner countries that are part of Japan's supply-chain, etc.) Strengthening collaboration with international organizations (Coordination with ADB financial support, etc.)	
[Structural Response] Asia Economic and Energy Resilience Initiative	
Strengthening energy supply systems (Support for building crude oil stockpiling systems, etc.) Diversifying energy sources (Development of LNG, Biofuels, Nuclear power, Critical minerals, etc.) Upgrading industry (Energy-efficiency investment, Introduction of new technologies, etc.)	

Source: JRI based on METI

Measures under POWER Asia constitute financial support rather than direct assistance, such as sharing crude oil. However, they carry significance beyond straightforward energy support in two respects: first, they may alter ASEAN's increasing tilt toward dependence on China; second, they will facilitate not only the build-up of oil stockpiles but also energy and resource supply chain development in partnership with Japan.

■ Japan-ASEAN economic cooperation could leave stagnation behind and regain momentum

As U.S.–China tensions intensify, structural changes in U.S.–China trade have led ASEAN to be chosen as a base for trade rerouting and production relocation, and in recent years ASEAN has been strengthening its economic ties with China, particularly in the area of trade. In the decarbonization field, too, Japan's emphasis on gradual transition has been overshadowed by Western-led decarbonization finance and China's growing presence in renewable energy and EV-related investment, contributing to a sense of stagnation in Japan–ASEAN cooperation. Several initiatives have aimed to support Asia's energy transition, notably the G7-led Just Energy Transition Partnership (JETP). However, hardly any progress has been made because the framework reflected Europe's more radical decarbonization stance, including strong demands for coal-fired power phaseout, and gave insufficient consideration to the circumstances of ASEAN countries. In contrast, AZEC, proposed by Japan in 2022, aims for net zero emissions through "various and practical pathways tailored to meet the circumstances of each country," and prioritizes coordination and cooperation with ASEAN members. With the announcement of POWER Asia as a concrete measure, energy security and supply chain resilience, which have become increasingly important in recent years, have been added as priority areas. As a result, AZEC has become a more attractive framework for ASEAN countries and is providing momentum for renewed strengthening of Japan–ASEAN economic cooperation, which had seemed to be stagnating.

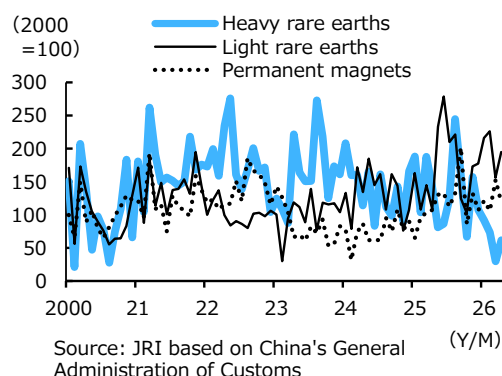
■ Cooperation is expected in critical minerals, where Japan faces difficulties

POWER Asia includes not only assistance to ASEAN countries for alternative sourcing of crude oil and petroleum products and support for Japanese companies and others to maintain production in ASEAN, but also infrastructure development for diversifying energy sources by raising the shares of LNG, biofuels, next-generation solar power, and nuclear power in the energy mix, as well as industrial support for critical mineral development. Currently, the initiative tends to be viewed as ASEAN relying on Japan for crude oil procurement, but it needs to be noted that it has increased the potential for coordinated industrial development aimed at a broader energy transition.

Cooperation in critical minerals is particularly significant. Japanese firms remain highly dependent on China for rare earths, and since the end of 2025, amid deteriorating Japan–China relations, the Chinese government has tightened export controls on rare earths bound for Japan, resulting in procurement delays being reported. Attesting to this is the fact that exports of rare earths to Japan, especially heavy rare earths, have declined sharply.

Against this backdrop, expectations are rising for cooperation with Vietnam, which possesses some of the world's leading rare earth reserves. Yet although Vietnam has large reserves, actual production has not increased, so Japanese support is expected to be provided for mining as well as refining and processing. In addition, according to the May 17

<China's Rare Earth Exports to Japan>
(Volume basis: kg)



<Production and Reserves of Rare Earths>

	Mine production (Ton, 2025)	Reserves (Ton)
China	270,000	44,000,000
Brazil	2,000	21,000,000
Australia	29,000	6,300,000
Russia	2,600	3,800,000
Vietnam	150	3,500,000
United States	51,000	1,900,000
Greenland	—	1,500,000
Tanzania	—	890,000
South Africa	—	860,000
Canada	—	830,000
Malaysia	110	710,000
Myanmar	22,000	—
Thailand	4,800	—
India	2,900	—
Madagascar	2,700	—
Nigeria	1,500	—

Source: JRI based on USGS

edition of the Nikkei newspaper, Sumitomo Metal Mining plans to increase production of rare earths in the Philippines, specifically scandium, which is recovered during nickel ore processing. The Philippines also has reserves of nickel and copper, while Indonesia has reserves of nickel and bauxite, and both nations rank among the top countries in the world for such reserves. Moreover, Indonesia has strengths in refining and processing industries, which are important for countering China's dominance in critical mineral supply chains.

With the deterioration and prolongation of the Iran conflict serving as a catalyst, Japan's economic cooperation with ASEAN countries, which had been showing signs of stagnation, is now moving toward renewed strengthening. In particular, cooperation in the critical minerals field, where Japan faces significant challenges, is likely to deepen. Developments in Japan–ASEAN cooperation will therefore continue to receive close attention going forward.

(Minoru Nogimori)

Topics *China's R&D investment is expanding*

China's sustained expansion of R&D investment is a trend that was not observed in Japan after the collapse of its asset bubble, even though a parallel is often drawn between China's current situation and Japan's post-bubble experience, in that both are characterized by prolonged economic stagnation. This trend thus calls for a reassessment of the excessively pessimistic views that have been expressed about the Chinese economy.

■ R&D activities are burgeoning

China's research and development (R&D) investment continues to expand steadily. The Organisation for Economic Co-operation and Development (OECD) defines R&D expenditure as the total of personnel costs, raw material costs, purchases of tangible and intangible fixed assets, lease fees, and other expenses incurred by companies, public institutions, universities, and other entities when conducting R&D activities. According to OECD statistics, China's gross R&D spending increased significantly from 1.3016 trillion yuan in 2014 to 3.6327 trillion yuan (approximately 84 trillion yen, calculated at 1 yuan = 23.2 yen) in 2024. The share of the corporate sector in gross expenditure rose slightly from 69.7% in 2014 to 71.4% in 2024.

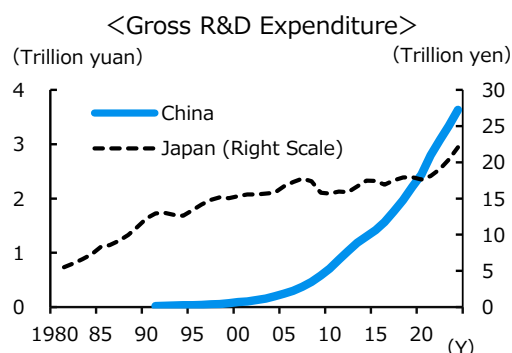
A notable point is that whereas Japanese companies became reluctant to invest in R&D and capital equipment after the bursting of the real estate bubble in around 1990, Chinese firms have continued to expand R&D investment despite the collapse of China's real estate bubble in around 2020.

Behind this trend are micro-level factors such as the "animal spirits" of Chinese entrepreneurs, a strong technological orientation, and pressure from fierce competition, as well as significant macro-level factors, including the government's commitment to medium- to long-term support, continued economic growth despite deceleration, and the fact that China's previous level of R&D expenditure was low by international standards.

First, the Chinese government's commitment to medium- to long-term support is believed to provide companies with a sense of stability, thereby encouraging them to invest in R&D. Since Xi Jinping came to power in 2012, his government has positioned the nation's "innovation-driven development strategy" as a core national policy. It has set the goal of making the country a world-class science, technology, and innovation powerhouse by 2050, and aims to promote increases in R&D expenditure across industry, academia, and government by 2030. In line with such medium- to long-term plans, China has also announced specific medium- to long-term strategies such as "Made in China 2025" for manufacturing and the Next-Generation Artificial Intelligence Development Plan for artificial intelligence. It has also announced the Five-Year Plan for Science and Technology Innovation, as well as other five-year plans for fields such as robotics. More recently, against the backdrop of intensifying U.S.–China tensions and changes in the international environment, China has made establishing itself as a science and technology powerhouse through "self-reliance and strength" its highest priority, with policy emphasis on overcoming technological bottlenecks and indigenizing core technologies.

Another difference from Japan after its bubble collapse is that while China's economic growth has slowed somewhat in recent years, it is still fairly rapid. Japan's real GDP growth rate was stuck at around +1% to +2% from the 1990s onward, whereas China's remains at +5% as of 2025. As its economy has expanded, companies' cash flow, which funds R&D investment, has increased.

In addition, while Japan's R&D expenditure as a proportion of GDP in around 1990 was already higher than in the U.S. or Germany, the figure for China in 2024 (2.7%) remains below those for Japan (3.6%), the U.S. (3.4%), and Germany (3.1%). In other words, this international comparison shows that Japan had limited room to increase R&D expenditure at the time its real estate bubble collapsed, whereas China still has ample room to do so.



Source: Prepared by JRI based on data from OECD
 Note: Totals for companies, public institutions, universities, etc.

■ R&D investment expansion is most pronounced in high-tech fields

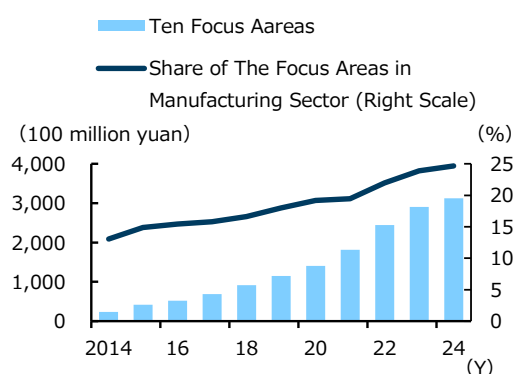
The gross R&D expenditure of all the manufacturing companies listed on the three stock exchanges of Shanghai, Shenzhen, and Beijing increased from 182.1 billion yuan in 2014 to 1,264.5 billion yuan in 2024. This data, obtained from annual securities filings, includes not only spending on in-house R&D but also on outsourced R&D. By contrast, the OECD R&D expenditure data presented above covers only spending on in-house R&D by companies, public institutions, and universities. This is to avoid double-counting and to capture nationwide R&D activity trends. Because the definitions differ, absolute figures and growth rates cannot be compared directly. Nevertheless, both datasets indicate the same direction for R&D expenditure, i.e., ongoing expansion.

In the "Made in China 2025" document released by the Chinese government in 2015, ten focus areas were identified, and a national strategy of aggressive and targeted investment in these areas was presented. According to an independent tally, total R&D investment in the ten focus areas increased by a remarkable factor of 13.1 over the subsequent decade. As a result of this rapid increase, the share of focus areas in total R&D investment by listed manufacturing companies has risen from 13.1% in 2014 to 24.7% in 2024.

In particular, storage batteries and solar cells have seen an approximately 26-fold jump in R&D investment and a roughly 10-fold increase in sales over the past decade, positioning them as powerful drivers for the upgrading of China's manufacturing sector and the country's energy transition. Lithium-ion batteries, the dominant storage battery type, are used in electric vehicles (EVs) and energy storage systems (ESS), making them indispensable products for supporting green transformation (GX), for which there is an international consensus. They also have broad applications in electrical and electronic devices.

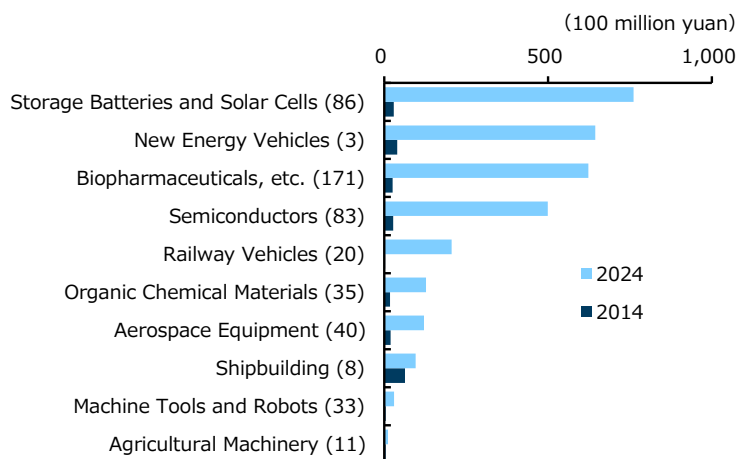
In addition, R&D investment in the field of new energy vehicles has soared by about 16 times over the ten-year period, while sales have risen by around 14 times. China's new energy vehicle market, which includes EVs, plug-in hybrid vehicles, and fuel cell vehicles, has expanded rapidly since 2021 thanks to longer driving ranges, shorter charging times, lower prices, the proliferation of charging stations, and various government support measures. Against this backdrop, non-state-owned automakers in particular have been steadily strengthening their technological capabilities through aggressive R&D investment. R&D investment has also increased markedly in biopharmaceuticals and medical devices, semiconductors, and railway vehicles. Through R&D investment, Chinese companies have been developing new technologies, brands, products, and production/sales processes, which is likely contributing to

<R&D investment in "Made in China 2025" focus areas>



Source: Prepared by JRI based on financial data from listed companies and data from Wind
Note: As of December 31, 2024, there were 490 companies in the "Made in China 2025" focus areas.

<R&D Investment in Each of Ten Focus Areas>



Source: Prepared by JRI based on financial data from listed companies and data from Wind
Note: Figures in parentheses are the number of companies as of December 31, 2024.

productivity improvements.

As the above discussion has shown, R&D activities are burgeoning in China. When considering future prospects for China's economic growth and how to compete and cooperate with Chinese firms, it is important to take such facts fully into account.

(Shinichi Seki)